



West Bengal State Electricity Distribution Company Limited
(A Govt. of West Bengal Enterprise)

Registered Office: Vidyut Bhavan, Bidhannagar, Block-DJ, Sector-II, Kolkata-700 091
CIN: U40109WB2007SGC113473, website: www.wbsedcl.in

Office Order No.: 993

Dated: 22-09-2015

Sub: Modification in the Clause-vii of procurement by
conducting Reverse Auction

In partial modification of this Office Order No: 988 dated 07.09.2015 through which 'Policy for procurement by conducting Reverse Auction' has been issued, it is, hereby, ordered that the words 'two or more bidders' should be read as 'three or more bidders' as appearing in the first sentence of clause-vii of the procedure of conducting Reverse Auction for procurement of goods and services in the Policy.

All other terms and conditions of the said order shall, however, remain unchanged.


(Sujay Sarkar)
Director(HR)



all up to 23/9/15

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Office Order No. : 988

Dated : 07-09-2015

Sub : Incorporation of provisions of reverse auction in the
purchase policy of WBSEDCL

E-procurements have been successfully implemented in different Offices of West Bengal State Electricity Distribution Company Limited (WBSEDCL) for a considerable period.

To obtain the most competitive price from the vendors providing transparency, fairness and equal opportunity, provisions of Reverse Auction as a part of e-procurement process, are, hereby, incorporated in the 'Purchase Policy' of WBSEDCL. This will provide opportunity to all the bidders to quote and improve their price offers dynamically and continuously during the period of auction.

Henceforth, WBSEDCL will conduct Reverse Auction for procurements of goods and services following the procedures as mentioned in the attached policy.

A Committee is, hereby, constituted comprising the Chief Engineer of the Department, Head of Accounts and one Additional Chief Engineer or Superintending Engineer of the Office of the Chief Engineer to decide the item of goods and services, for which Reverse Auction will be conducted. The Committee of other Departments so constituted may co-opt one Additional Chief Engineer or Superintending Engineer of P&C Department in the Committee. The Committee will also assess the capacity of the bidders to supply the tendered item.

A copy of approved policy is attached which may suitably be incorporated in the Purchase Policy of the Company.

This has reference to the resolution adopted in the 57th meeting of the Board of Directors of WBSEDCL held on 02. 06. 2015.

Enclo : As stated

Sujay Sarkar
(Sujay Sarkar)
Director (H. R.)

Policy for procurement by conducting Reverse Auction

E-procurements are being done successfully by different offices of West Bengal State Electricity Distribution Company Limited for a considerable period.

Reverse auction is a part of e-procurement process and it can be conducted to obtain the most competitive price from the vendors providing transparency, fairness and equal opportunity. In the process of Reverse Auction, all the bidders qualified in technical evaluation, get the opportunity to quote and improve their price offers dynamically and continuously during the period of auction.

CVC mentioned in its office order No. 46/9/03 dated 11.09.2003 that the Departments/Organizations may themselves decide on e-procurement/Reverse Auction for purchases or sales and work out the detailed procedure in this regard. It has, however, to be ensured that the entire process is conducted in a transparent and fair manner.

For conducting Reverse auction, secure web portals having provisions of SSL encryption are necessary. Portals of National Informatics Centre, an organization of Government of India, are available free of charges for e-procurement and Reverse Auction. Other reputed service providers having adequate experience may be engaged for e-procurement and Reverse Auction activities for those events of procurements where additional services like technical support, customization of the software, monitoring of the events, reporting etc. are necessary.

Reverse Auction may be done in any one of the following two methods depending on the requirements of the particular procurement.

- a) Reverse Auction may be conducted in tender cum auction mode. After opening the price bids of a tender, Reverse Auction may be conducted among the technically qualified vendors of the tender keeping the L₁ price of the tender as the Start-up Price of the Reverse Auction.
- b) Reverse Auction may be conducted in tender cum auction mode. After short listing the technically qualified vendors of the tender, Reverse Auction may be conducted among the short-listed vendors before opening the price part of the tender. After conducting the Reverse Auction, the price part of the tender may be

opened as usual for the short listed vendors. The rate, which will be the lowest among both the activities of Reverse Auction and tender, will be considered for award of contract.

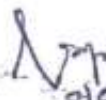
West Bengal State Electricity Distribution Company Limited will, henceforth, conduct Reverse Auction for procurements of goods and services following the procedures as mentioned below.

- i) The items of goods and services, for which Reverse Auction will be conducted, will be decided by a committee comprising of the Chief Engineer of the Department, Head of Accounts and one Addl. Chief Engineer or Superintending Engineer of the office of the Chief Engineer. One Addl. Chief Engineer or Superintending Engineer of P&C Department may be included in such committee of other Department.

The committee will decide whether in tender-cum-auction mode the Reverse Auction will be done prior to the opening of the price part of the tender. In case it is decided that the Reverse Auction will be done prior to opening of the price part of the tender, the Start-up Price of the Reverse Auction will also be decided by the committee. The committee will decide the Reserve Price also for the Reverse Auctions. The Reserve Price may, normally, be 25% less than the updated last purchase price of the similar item.

- ii) Reverse Auction may, normally, be conducted in case the estimated value of the procurement exceeds five crore.
- iii) Eligibility criteria will be clearly mentioned in the terms & conditions of the Reverse Auction. Technical specification, General Conditions of Contract etc. will be provided in the bid document. Necessary details of the Reverse Auction will also be incorporated in the bid document.
- iv) The date of Reverse auction will be informed to the vendors well in advance. The time of auction and details of auto-extension of auction time will also be informed.

- v) The start bid price and the rate of decrement of bid will be provided at the time of commencement of the Reverse Auction. The bid price shall be the landed price which will include Ex-works price, F&I charges, VAT/CST, Excise Duty, Entry Tax etc. The L₁ vendor shall submit the price break up after completion of the Reverse Auction.
- vi) During the Reverse Auction, the bidders' names will be masked and the bidders will be able to see the prices quoted in real time to know the status of their bid.
- vii) Reverse Auction will be valid only if two or more bidders participate in the Reverse auction event. In case of no bid or single bid, Re-auction may be done amending the start price which will be reviewed and decided by the committee, as stated above.
- viii) In case of procurement through tender cum auction mode, if a single vendor qualifies in the technical evaluation, the Reverse Auction can not be conducted. In such cases, normally, the tender will be cancelled and re-tendering will be done without Reverse Auction.


8/05/15